

Chapter9

1. The dividends of Louis' Italian Cuisine are expected to grow at a rate of 5% per year forever. If the stock paid a dividend of \$4 per share this morning and investors require a 14% rate of return, what is this stock's "intrinsic value"?

2. A stock is expected to pay a dividend of \$1.5 at the end of the year. The required rate of return is $r_s = 13\%$, and the expected constant growth rate is $g = 5\%$. What is the stock's current price? What is the capital gain and dividend yield?

3. If $D_1 = \$2$, g (which is constant) = 7%, and $P_0 = \$40$, then what is the stock's expected total return for the coming year?

4. Google' stock currently sells for \$40 per share. The dividend is projected to increase at a constant rate of 5% per year. The required rate of return on the stock, r_s , is 11.00%. What is the stock's expected price 3 years from today?

5. Molen Inc. has an outstanding issue of perpetual preferred stock with an annual dividend of \$5 per share. If the required return on this preferred stock is 9%, then at what price should the stock sell?

6. The Francis Company is expected to pay a dividend of $D_1 = \$2$ per share at the end of the year, and that dividend is expected to grow at a constant rate of 4.00% per year in the future. The company's beta is 1, the market risk premium is 5.50%, and the risk-free rate is 4.50%. What is the company's current stock price?

7. Sorenson Corp.'s expected year-end dividend is $D_1 = \$2$, its required return is $r_s = 12.00\%$, its dividend yield is 4.00%, and its growth rate is expected to be constant in the future. What is Sorenson's expected stock price in 7 years, i.e., what is $\hat{P}_7$?

8. XYZ Corporation just paid a dividend of \$2.00 per share. The company is expected to grow dividends at a **high growth rate of 10% annually for the next 4 years**, after which the dividend growth rate will fall to a **constant rate of 5% forever**. The required rate of return for XYZ's equity is **9%**. Calculate the current value of the stock using the two-stage DDM.

9. You are analyzing ABC Inc., a firm with the following projected Free Cash Flows to the Firm (FCFF) over the next 3 years:

After year 3, FCFF is expected to grow at a constant rate of **3% per year** forever. ABC Inc.'s **weighted average cost of capital (WACC)** is **8%**, and the company has **\$100 million in debt** and **10 million shares outstanding**. Assume the firm has zero non-operating assets.

Year	FCFF (\$ millions)
1	45
2	50
3	55

- Calculate the Horizon value of the firm at the end of year 3.
- Estimate the total firm value as of today.
- Calculate the equity value per share of ABC Inc.